NIKE Investment Committee Decision Memo

Decision: Watch/defer. Do not open a new 12-month NIKE position at $38.24 per share, the September 2, 2026 close. The supported valuation range is $30-$49 per share. The committee should reconsider at or below $36.40, or after reported results support the required revenue and margin recovery.

Decision evidence and as-of date

The intended user is an investment committee with no existing NIKE position. The primary source boundary is NIKE's FY2026 Form 10-K, filed July 15, 2026 for the year ended May 31, 2026. Market data ends at the September 2, 2026 close of $38.24; no later information is used.

NIKE finished FY2026 with $46.398 billion of revenue, $3.850 billion of EBIT, and $3.108 billion of net income. Cash and short-term investments were $9.027 billion, compared with $7.942 billion of book debt, producing $1.085 billion of net cash. The balance sheet provides resilience, but the operating evidence does not yet establish a broad turnaround: consolidated currency-neutral revenue fell 2%, NIKE Direct fell 8%, and Greater China fell 13%.

The range deliberately preserves disagreement among methods rather than averaging them. The linked FCFE pro-forma produces $30.19 per diluted share in its base case; its terminal value represents 79.9% of total equity value. The earlier full-recovery FCFF case produces $48.53 per diluted share but requires EBIT margin expansion from about 8.3% to 12.0%. Trading-comps EV/EBITDA implies $45.55 at the peer median but spans $27.55-$138.77 because the peer set includes both distressed and high-growth companies. The credible overlap is therefore a $30-$49 decision range, not a single target price.

Material assumptions and sensitivities

The FCFE base case assumes FY2027-FY2031 revenue growth of 3%, 4%, 5%, 4%, and 3%; gross margin rises from 43.2% to 44.5%; capex is 1.5% of revenue; cost of equity is 9.0%; and terminal growth is 2.5%. These are analyst assumptions, not management guidance.

The accounting-linked sensitivity suite passed the balance-sheet check in every run and restored the base inputs after testing. A +/-1 percentage-point revenue-growth change moves value from $29.62 to $30.76 per share; a +/-1 percentage-point gross-margin change moves it from $29.12 to $31.26; and changing capex from 1% to 2% of revenue moves it from $32.60 to $27.79. Capex has the largest tested value span ($4.81 per share). The results confirm that cash conversion and reinvestment are material to the lower end of the range.

Risks, triggers, and committee ask

The thesis fails if NIKE Direct and Greater China do not stabilize, promotional discounting delays margin recovery, or future evidence makes the terminal-value dependence less credible. Monitor quarterly revenue by channel and geography, gross margin, EBIT margin, inventory, and promotional commentary through 10-Qs and earnings releases. Re-run the range after each report.

Committee ask: Maintain no position today. Authorize monitoring only. Reconsider an initiation if (1) the price is at or below $36.40, or (2) filed results show that

revenue and margin recovery are occurring. See validation-and-ai-use.md for the full source, test, and AI-use record.

Sources

- NIKE FY2026 Form 10-K, accession 0000320187-26-000088, filed July 15, 2026: https://www.sec.gov/Archives/edgar/data/320187/000032018726000088/nke-20260531.htm
- September 2, 2026 NKE historical-price cross-check: https://stockanalysis.com/stocks/nke/history/
- Comparable-company work: ../comps_NKE.md
- Linked-model output: ../outputs/project1_visible_output.json